CA2 Suggestions- MIM502- Entrepreneurship

CA2 Question Paper Pattern [25 Marks]:

Short Question (1 mark x 5 Ques.)

Long Question (5 mark x 4 Ques.)

Q1. Explain Joseph Schumpeter's Theory of Creative Destruction. (5 Marks)

Answer:

Creative destruction is the continuous process through which innovation transforms an economy by replacing existing products, production methods, firms and industries with new ones.

Macroeconomic Significance

- Growth Driver: Innovation and the restructuring of economic activity contribute to long-term economic growth and productivity.
- Recession Costs: Economic downturns can intensify the costs of industrial restructuring, particularly when resources and workers must move from declining industries to new activities.
- Policy Implications: Excessive protection of inefficient industries may discourage innovation, competition and the reallocation of resources.

The Entrepreneur as the Catalyst

- Innovative Agent: The entrepreneur introduces new combinations of resources, challenges existing business practices and drives economic transformation.

Q2. A software development firm transitioning to an Agile framework model notices that its engineering team feels micro-managed under strict daily time-logging tools and top-down sprint assignments, leading to a drop in creative output.

Identify which McGregor formulation (Theory X or Theory Y) the firm's current management style reflects and why?

Answer:

The firm's management style reflects the assumptions of Theory X, which views employees as requiring close supervision and external control.

- **Strict Daily Time-Logging**: Reflects the assumption that employees must be closely monitored to ensure effort and productivity.
- **Top-Down Sprint Assignments**: Reflects limited confidence in employees' ability to exercise initiative and accept responsibility.
- **Micromanagement**: Indicates a lack of trust in employees' capacity for self-direction and independent decision-making.

Impact on Organizational Performance

- **Suppression of Higher-Order Needs**: Excessive control may restrict opportunities for autonomy, responsibility and personal development.

- **Reduced Creativity**: Limited freedom and participation may discourage initiative, experimentation and innovative problem-solving.

Q3. Explain the fundamental assumptions regarding human behavior that underlie McGregor's Theory X and Theory Y. (5 Marks)

Answer:

Developed by Douglas McGregor, **Theory X and Theory Y** represent two distinct sets of managerial assumptions regarding human behavior and motivation in the workplace. These assumptions shape a manager's leadership style, delegation habits, and system of organizational control.

Theory X Assumptions—

- Work Aversion
- Lack of Ambition
- Change Resistance
- Control Mechanism

Theory X leads to an authoritarian, micromanaged leadership style based on tight control.

Theory Y Assumptions—

- Effort
- Self-Direction
- Responsibility Seeking
- Inherent Creativity

Theory Y leads to a participative, decentralized leadership style that fosters employee empowerment and alignment between personal and organizational goals.

Q4. Explain the core characteristics of individuals with a high Need for Achievement (nAch) according to David McClelland. (5 Marks)

Answer:

Developed by David McClelland, the **Need for Achievement (nAch)** is a learned psychological motive characterized by a strong desire to excel, achieve in relation to a set of standards, and strive to succeed.

Key Behavioral Characteristics

Individuals with high n-Ach typically demonstrate:

- Preference for Moderate Risk: Prefer challenging but attainable goals involving calculated rather than extreme risk.
- Personal Responsibility: Prefer to take responsibility for decisions and outcomes.
- Need for Feedback: Seek timely, specific information about their performance.
- Goal Orientation: Set challenging and measurable objectives and strive to achieve them.

Organizational Impact

High-n-Ach individuals may be attracted to entrepreneurial and sales roles because these provide personal responsibility, measurable outcomes and challenging goals.

However, high n-Ach alone does not guarantee entrepreneurial success. Individuals with strong achievement motivation may also need to develop delegation and interpersonal skills when moving into managerial roles.

Q5. Distinguish between how high-nAch individuals and low-nAch individuals respond to workplace challenges and goal setting. (5 Marks)

Answer:

High-nAch Individuals and Low-nAch Individuals process workplace obstacles using fundamentally different mindsets:

Dimension	High-nAch individuals	Low-nAch individuals
Source of motivation	Stronger emphasis on achievement, personal accomplishment and hope of success.	May place less emphasis on personal achievement and be more influenced by security, external rewards or fear of failure.
Goal setting	Prefer challenging but attainable goals with measurable outcomes.	May prefer easier, safer or less personally demanding goals, although individual responses vary.
Attribution of success	Often emphasize personal effort, ability and performance.	May be less inclined to attribute outcomes to personal achievement; attributions vary by individual and situation.
Reaction to failure	More likely to use feedback to adjust effort or strategy and attempt improvement.	May be more likely to avoid challenging tasks or withdraw when failure threatens self-esteem, depending on circumstances.

Q6. Vikram, a recent engineering graduate in a developing economy, wants to launch an innovative drone-based agricultural pesticide spraying startup. However, he faces major hurdles: he cannot secure a bank loan because he lacks collateral, the national civil aviation authority takes up to two years to grant drone operating licenses, and established corporate agricultural suppliers are threatening to cut off retailers who distribute Vikram's products.

Identify and explain the three distinct barriers to entrepreneurship Vikram is facing. (5 Marks)

Answer: Vikram faces the following three barriers:

1. **Financial Barrier — Lack of Access to Capital**: The bank's collateral requirement prevents Vikram from obtaining the finance needed to establish the venture.

2. **Regulatory and Administrative Barrier — Licensing Delays:** The lengthy licensing process delays market entry, increases compliance costs and creates uncertainty.

3. **Market Entry Barrier — Incumbent Retaliation:** Established suppliers are threatening retailers to prevent them from distributing Vikram's products. This restricts access to distribution channels and creates an unfair competitive obstacle.

These barriers increase the cost and uncertainty of market entry and may prevent a technically feasible innovation from becoming commercially viable.

Q7. Explain the structural, regulatory, and financial barriers to entrepreneurship that impede new venture creation. (5 Marks)

Answer:

Entrepreneurs face financial, regulatory and structural barriers that increase the cost and difficulty of establishing and operating new ventures.

1. Financial Barriers

- Capital Scarcity: Insufficient personal savings, credit or external investment.
- Collateral Requirements: Inability to provide assets or guarantees required by lenders.
- High Cost of Capital: High interest rates, financing costs or unfavourable borrowing terms.

2. Regulatory and Administrative Barriers

- Bureaucracy and Red Tape: Complex and time-consuming administrative procedures.
- Compliance Burden: Costs associated with fulfilling legal, tax and reporting requirements.
- Licensing Delays: Delayed approvals that prevent timely commencement of business operations.

3. Structural and Market Barriers

- Incumbent Retaliation: Established firms may use their market power or distribution networks to discourage new entrants.
- Infrastructure Deficits: Inadequate electricity, transport, internet connectivity or other essential facilities.
- Asymmetric Market Information: New entrepreneurs may lack the market knowledge, customer information or industry contacts available to established firms.

Collectively, these barriers increase entry costs, uncertainty and the risk of business failure, thereby discouraging new venture creation.

Q8. Discuss the core functions of an entrepreneur in an economic system. (5 Marks)

Answer: The core functions of an entrepreneur in an economic system are as follows—

- Innovation and Creativity
- Risk-Taking and Uncertainty Bearing
- Organization Building and Management- resource orchestration, operational control and decision-making
- Economic Development Function- value creation

Q9. List Schumpeter's Five Types of Innovation. (5 Marks)

Answer: Schumpeter's five types of Innovation are as follows:

- Introduction of a New Good
- Introduction of a New Method of Production
- Opening of a New Market
- Conquest of a New Source of Supply
- Carrying Out a New Organization of an Industry

Q10. Discuss a few remedial measures for the challenges and problems faced by Women Entrepreneurs in India. (5 Marks)

Answer: Remedial Measures

- **Targeted Credit and Financial Support:** Improve women's access to collateral-free or appropriately secured credit, financial literacy and eligible government-supported financing schemes, such as MUDRA and Stand-Up India.
- **Skill Development Initiatives:** Provide affordable training in digital literacy, financial management, marketing, business planning and relevant technical skills.
- **Incubation and Dedicated Networks:** Establish accessible incubators, mentoring programmes and professional networks connecting women entrepreneurs with investors, industry mentors and potential buyers.
- **Institutional and Policy Support:** Improve access to government procurement, simplify compliance procedures and provide suitable financial and institutional incentives to eligible women-owned enterprises.
- **Socio-Cultural Support:** Promote awareness of women's economic independence and expand access to safe transport, childcare facilities and support for balancing work and family responsibilities.

Q11. List out the stages of an entrepreneurship process. (5 Marks)

Answer: The **entrepreneurial process** is a sequential, dynamic journey undertaken by an entrepreneur to transform an innovative idea into a commercially viable and sustainable business enterprise.

Core Stages of the Entrepreneurship Process are—

- Stage 1: Discovery / Idea Generation (Opportunity Identification)
- Stage 2: Evaluation of the Opportunity (Feasibility Analysis)
- Stage 3: Developing a Comprehensive Business Plan
- Stage 4: Resourcing (Assembling Resources & Financing)
- Stage 5: Launching and Managing the Enterprise (Implementation)
- Stage 6: Harvesting and Scaling the Venture or Exit Strategy

Q12. Objective Questions

a. A _____ entrepreneur is a "Craftsman".

→ Technical

b. Which motivation theory has the attribute of moderate risk taking as a function of skill, not chance?

→ McClelland's Need for Achievement

c. Joseph Schumpeter argued that capitalism operates in a state of static market equilibrium where price competition is the main driver of growth. True or False?

→ False

d. Name the business model that uses entrepreneurial principles to solve pressing social, cultural, or environmental problems while balancing financial sustainability with social impact.

→ Social Entrepreneurship

e. What is the specific level of Maslow's Hierarchy of Needs that a marketer targets when they frame an expensive business certification program as "the ultimate tool to realize your absolute intellectual capability and peak mental capacity."

→ Self-Actualization

f. What is meant by Black Swan Theory in entrepreneurship?
→ It refers to rare, unpredictable and high-impact events that can create exceptional opportunities or losses for entrepreneurs.

g. Which McClelland need drives individuals who seek leadership roles, influence strategic votes, and prioritize institutional control over task execution?

→ Need for Power (nPow)

h. An entrepreneur converts an underutilized factory into a profitable commercial complex. Which entrepreneurial function does this illustrate?

→ Resource reallocation.